Srinivasan:

On opening capital for 1 year $= 10,000 \times \frac{6}{100}$ = ₹ 600

On additional capital for 4 months $= 10,000 \times \frac{6}{100} \times \frac{4}{12}$ = ₹ 200

Total interest on capital ₹ 800

Illustration 8

From the following balance sheets of Subha and Sudha who share profits and losses equally, calculate interest on capital at 6% p.a. for the year ending 31st December 2017.

Balance sheet as on 31st December 2017

Liabilities	₹	Assets	₹
Capital accounts:		Fixed assets	30,000
Subha	15,000	Current assets	20,000
Sudha	20,000		
Current liabilities	15,000		
	50,000		50,000

Drawings of Subha and Sudha during the year were ₹ 2,500 and ₹ 3,500 respectively. Profit earned during the year was ₹ 15,000.

Solution

Particulars	Subha ₹	Sudha ₹
Capital on 31st December 2017	15,000	20,000
Add: Drawings	2,500	3,500
	17,500	23,500
Less: Profit already credited	7,500	7,500
Capital on 1st January 2017	10,000	16,000

Calculation of interest on capital:

Subha:

On opening capital $= 10,000 \times \frac{6}{100}$ = ₹ 600

Sudha:

On opening capital $= 16,000 \times \frac{6}{100}$ = ₹ 960

Illustration 9

From the following balance sheets of Brindha and Praveena who share profits and losses in the ratio of 3:4, calculate interest on capital at 6% p.a. for the year ending 31st December 2017.

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